

Activity 6: Anchor and Frame an Agency Retainer

TSC mapping: K4 | K5 | A4 Objective: Use a supportable opening offer, framing and package design to negotiate a marketing agency retainer. Expected output: A five-minute opening and a complete commercial package with evidence. Primary source:

<https://www.fuqua.duke.edu/programs/executive-education/business-negotiation-skills/negotiation-techniques>

Goal

Represent an SME selecting a digital agency while balancing price, scope, performance evidence and launch speed.

Real-world scenario

Real-world use case: professional-service retainers combine scope, quality, staffing, intellectual property, metrics and commercial risk. The scenario is a realistic composite.

A consumer brand needs an agency for a six-month regional launch. The preferred agency proposes SGD 28,000 monthly and promises senior attention but leaves deliverables vague. A lower-priced bidder has less category experience. The launch date is fixed, but media spend and production scope can be phased.

Evidence boundary

The business setting is a realistic composite. Numerical and organisational inputs created for practice are labelled as training assumptions and must not be presented as real company facts.

Training assumptions / guardrails

- The approved expected budget is SGD 24,000 monthly, with authority up to SGD 26,000 for defined senior staffing and performance reporting.
- The preferred agency's comparable work reduced acquisition cost by 12%, but attribution is not independently verified.
- The brand values launch readiness more than a small price reduction.
- A pilot phase can be completed in eight weeks before full regional rollout.

Questions

1. Should the brand make the first offer, and why?
2. What evidence makes the anchor credible rather than arbitrary?
3. How should value be framed without overstating uncertain performance?
4. Which concessions should be conditional and reciprocal?

Detailed activity procedure

Step 1: Choose the opening strategy

Assess information quality, alternatives and anchoring risk before deciding who should open.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 2: Construct the anchor

State a complete package covering fee, scope, team, milestones, reporting, IP and performance review.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 3: Prepare the rationale

Link each term to workload, benchmark, risk, outcomes or implementation requirements.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 4: Draft the counter-anchor

Prepare language to reject an unsupported extreme without becoming reactive.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 5: Build a concession ladder

Sequence possible movement and specify the reciprocal term required for each step.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Step 6: Rehearse and record

Role-play the opening, capture questions and update the issue log after the simulated response.

Checkpoint: Record the evidence, calculation or decision produced in this step.

Deliverable

A five-minute opening and a complete commercial package with evidence.

Acceptance criteria

The opening is ambitious but evidence-backed, covers at least six terms and includes no unconditional concession.

Reflection and debrief questions

1. Which assumption changed your negotiation plan most, and why?
2. What evidence would you request before relying on the result?
3. Which stakeholder owns the next decision or approval?
4. What would you repeat or change in the next negotiation?

Source note

Source accessed 15 August 2026:

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